,,	Trade receivables A/c		1,000	
	To Revaluation A/c			1,000
	(Unrecorded trade receivables recorded)			
,,	Raghu's capital A/c		6,000	
	Sam's capital A/c Dr.		4,000	
	To Revaluation A/c			10,000
	(Loss on revaluation transferred to capital accounts)			

Dr. **Revaluation Account** **Cr.**

Particulars	₹	Particulars	₹	₹
To Machinery	6,000	By Trade receivables A/c		1,000
To Furniture	3,000	By Loss on revaluation transferred to		
To Provision for bad debts	2,000	Raghu's capital A/c (3/5)	6,000	
		Sam's capital A/c (2/5)	4,000	**10,000**
	11,000			11,000

Dr. **Capital Account** **Cr.**

Date	Particulars	Ragu ₹	Sam ₹	Prakash ₹	Date	Particulars	Ragu ₹	Sam ₹	Prakash ₹
	To Revaluation A/c	6,000	4,000	-		By Balance b/d	40,000	30,000	-
	To Balance c/d	**34,000**	**26,000**	**10,000**		By Bank	-	-	10,000
		40,000	30,000	10,000			40,000	30,000	10,000
						By Balance b/d	34,000	26,000	10,000

Illustration 7

Anand and Balu are partners in a firm sharing profits and losses in the ratio of 7:3. Their balance sheet as on 31st March, 2018 is as follows:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Land	60,000
Anand	50,000		Stock	40,000
Balu	30,000	80,000	Debtors	20,000
Sundry creditors		20,000	Cash in hand	10,000
Profit and loss A/c		30,000		
		1,30,000		1,30,000

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